DCH Construction & Hauling

Figure 1. North Branch of the Chicago River

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Jeanette Chavarria-Torres leaned over the job folder on her desk, reviewing vendor contracts and hauling estimates. A new City of Chicago project was open for proposals—25 acres of infrastructure work tied to the North Branch Corridor expansion, a project that would bring mixed-use development and thousands of new homes to a neighborhood along the Chicago River (Figure 1). It was exactly the kind of opportunity she had envisioned when building her business, DCH Construction & Hauling. And now she had to decide: How should she build her pitch to win a share of this project? And if she won, would the payoff justify the short-term financial risk?

If she wanted a chance, Chavarria-Torres needed to submit not only the best possible price per haul but also proof that DCH could handle a $500,000 contract. She would have to prove that her company had the equipment, the team, and the financial capacity to deliver. And she'd need to front weeks of payroll and fuel costs before the first payment came through, which would involve more financial risk than she was used to.

Background

DCH hadn't started with major city-development projects. It started in 2014 with Chavarria-Torres, a 22-year-old single mother, finishing college classes during the day, hauling material at night, and knocking on doors to seek opportunities with contractors. The catalyst for starting her own business was watching her father run his trucking business, which he lost during the recession in 2008. As a young girl, she'd helped her father, a Mexican immigrant whose first language was Spanish, translate communications and complete his paperwork, and it whetted her passion for the business. "When my dad's [dream was lost], it became my dream" (Bushey 2018).

At first, Chavarria-Torres couldn't even get insurance—10 companies said no to insuring her equipment—and on top of that, no bank would give her a line of credit (HACIA n.d.). So she started small—very small. Her first contract was a single-haul job. The second was a week-long site prep job, where she removed obstacles and debris from a building site. By the end of her first year, DCH's revenue cleared $50,000, most of which went straight to fuel, repairs, and operating expenses. Chavarria-Torres had learned from her father to keep meticulous records of her work—she knew every job, every cost, and every invoice. She used spreadsheets to track her revenue and expenses month over month, creating her first income statement. Even when lenders said no, she kept calculating what she'd need to break even. Her goal was simple: survive long enough to build a positive track record.

Steady Growth

By 2017, DCH's income statement told a story of more than just survival; the business was thriving. Annual revenue had grown to over $1.3 million (HACIA n.d.). This milestone put DCH Construction & Hauling in an exclusive group, as fewer than 5% of U.S. businesses break the $1 million mark (Shada 2024).

Chavarria-Torres had added two more trucks and hired part-time drivers. Operating expenses were still high—maintenance, fuel, and equipment leases—but she could now show a consistent gross profit and a positive bottom line. And just as important, she had the assets to fund the day-to-day operations of the business.

By 2022, DCH owned six trucks, and the business's liabilities were still modest, as Chavarria-Torres had reinvested her earnings to avoid debt. Her strong balance sheet opened new doors, and banks were willing to offer small business credit lines. Vendors agreed to 30-day payment terms. Insurance carriers, once hesitant, now quoted competitive rates. She could bid on larger jobs not just because she had the team, but because her financial statements told the right story.

The Big Opportunity

In 2024, DCH Construction & Hauling reached $6.2 million in annual revenue, with a projected $8 million by early 2025. The company had eight trucks, contracts with more than 50 subcontracted drivers, and a track record with major clients like Metra (the Chicago commuter rail system), O'Hare Airport, and Sterling Bay, a Chicago real estate developer (IlLatinoNews 2022).

DCH could do the work necessary for the North Branch Corridor expansion, but she would also need to use her available cash or expand her line of credit to front early expenses—a risk she'd purposefully avoided thus far. Chavarria-Torres knew lenders would want to see not only this year's financials but a trend: stable revenue, manageable liabilities, and margins strong enough to withstand delays.

The bid also required pricing strategy. She assumed larger competitors would offer lower rates. Should she match them and risk a slim margin? Go slightly higher and lean on her reliability record, knowing some clients valued on-time delivery and clear communication more than price alone?

No matter what she chose, Chavarria-Torres knew one thing: Her financial statements, which told the story of her business's practices and values, were just as critical to the sustainability of her business as her dump trucks.

She flipped open her laptop and looked at her latest operating report. The numbers were there—three years of healthy revenue, improving margins, and positive cash flow. But the decision ahead wasn't just about what was on paper. It was about whether or not it was worth the risk.

The information contained in this business case is for educational purposes only. The companies or parties referenced herein are neither affiliated with, nor endorsed by, the AP Program. The companies and parties referenced herein do not endorse the AP Program.

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1. What business is featured in this case? What product(s) does the business provide?

2. Who is named in the case, and what is/are their roles? Describe other stakeholders (individuals and groups) with an interest in the business.

3. Describe an opportunity and/or challenge facing the business in this case.

1. Describe one disadvantage of DCH Construction & Hauling's organizational structure.

2. Explain how Chavarria-Torres used a promotional tool to acquire early customers.

3. Explain why banks were willing to offer business credit lines to DCH Construction & Hauling in 2022, when they were unwilling to do so previously.